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Kraft Heinz: a USD 700m bet on a volume recovery

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Market data as of 12 November 2026.

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Kraft Heinz is investing an extra USD 700m in 2026 to revive its US retail business and accelerate abroad. Market share trends are improving, but organic sales are still falling and costs are rising.

US packaged food: volumes under pressure

After the price increases, the volume test

After several years of price increases, large US food companies face weaker volumes as consumers trade down or buy less. Many are now reinvesting in marketing, product quality and selective price cuts to win shoppers back, at the cost of lower margins in the short term.

Pruning the portfolio

Food groups are also selling slower brands to focus on their strongest ones. On 3 November 2026, Kraft Heinz agreed to sell its North American coffee business, including Maxwell House, to One Rock Capital Partners for an enterprise value of USD 650m, keeping a 30% stake. Net proceeds of about USD 500m will reduce debt.

What this means for investors

The sector offers defensive revenue but little growth, and investors now reward proof of volume recovery rather than price increases. For Kraft Heinz, the reinvestment plan is the test: if volumes stabilise, the low valuation could re-rate; if not, the share could remain a value trap.

The Kraft Heinz Company KHC US

Reinvesting heavily to bring US volumes back to growth

Market capitalisation	Organic sales, 2026 guidance	Adjusted EBITDA margin, FY2025	Extra investment, 2026
USD 28.7bn	**-0.5% to -1.25%**	**23.5%**	**USD 700m**

1. What the company does

Kraft Heinz is one of the largest US packaged food groups. Its "WIN BIG" brands, such as Heinz and Philadelphia, make up about 60% of sales; most of the rest is US retail. Emerging markets are a growing part of the business.

2. Why it could do well

The extra spending is starting to show: 31% of revenue is holding or gaining market share this year, against 21% in 2025. The WIN BIG brands are back to consumption growth, and Heinz organic sales in emerging markets rose about 16% in the third quarter. Management raised the low end of its 2026 organic sales guidance and lifted adjusted earnings per share guidance to USD 2.07 to 2.13.

3. What sets it apart

Few food groups own a global brand with the reach of Heinz, which travels well into emerging markets. The group is also reshaping its portfolio: the coffee sale removes a slower business and reduces debt, and the USD 700m investment level is planned to continue in 2027.

4. Cheap, or a value trap?

With a market value of USD 28.7bn and net debt of about USD 17.5bn, the enterprise value is around 7.9 times FY2025 adjusted EBITDA of USD 5.85bn, and leverage is about 3 times (Syz calculation). This is a low multiple for brands of this quality, but it reflects falling volumes: the share is cheap only if the investment brings volumes back.

5. Main risks

North American volumes have been falling for several years; organic sales fell 1.1% in the third quarter, and 3.2% in North America. Cost inflation is expected slightly above 5% in 2027, which would require price increases that could hurt volumes again. The USD 700m programme weighs on margins with no guaranteed return.

6. What to watch next

Fourth-quarter results and 2027 guidance: the volume trend in North America and the margin cost of the investment. Then the closing of the coffee sale, the use of proceeds and the price increases planned to offset inflation.

Conclusion

Kraft Heinz is a recovery case rather than a defensive income stock. The valuation is low and the first signs are encouraging, but the volume turnaround is not yet proven. An investor could wait for stabilising North American volumes before building a position, accepting that part of a re-rating could be missed.

Sources

- Syz Research, Bloomberg, The Kraft Heinz Company.

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